



PROGRESSIVE DISCIPLINE POLICY

INTENT

CPC Logistics Canada uses progressive discipline to address intentional misbehaviour by employees, including management, consistently and fairly. The company has adopted this policy to outline its progressive disciplinary process.

GUIDELINES

This policy applies equally to all employees of the company, including supervisors and management. The policy is consistently applied to all CPC Logistics Canada employees.

The goal of progressive discipline under this policy is to work with employees to help correct behaviours, attitudes, or actions.

Issues for Progressive Discipline

CPC Logistics Canada uses progressive discipline to address issues related to employee conduct and performance where the issue is caused by a deliberate action or choice of the employee.

Progressive discipline is used for issues related but not limited to:

- Misconduct that affects performance, including not meeting standards or missing deadlines.
- Attendance, such as arriving late, leaving early, or missing days without following proper reporting procedures;
- Conduct, such as rude jokes or unprofessional attire or comments;
- Health and safety concerns, such as noncompliance with policies, unsafe practices, or not using appropriate personal safety equipment;
- Other breaking or bending of company policies, practices, or procedures.

PROGRESSIVE DISCIPLINE PROCESS

The company employs one informal step and four formal steps in its progressive discipline process. The informal step is coaching. The formal steps are:

1. Verbal warning;
2. Written warning;
3. Final written warning or possible suspension; and
4. Termination of employment.



Most instances of misconduct are addressed with coaching, followed by formal steps in order if sufficient improvement is not achieved. However, depending on the nature of the offence, the frequency of offences, the employee's overall work history, and the effect of the offence on the organization and its customers, the company may address a specific instance of misconduct beginning with a later stage of the process, or may accelerate the application of subsequent steps.

Severe cases of misconduct, including theft, wilful damage to company property, or possession of weapons or explosives, will result in the immediate application of a later step in the progressive discipline process, up to and including immediate termination. Moving to an immediate termination is not limited to just these examples, especially if that response is listed in a zero-tolerance policy.

The company addresses unrelated issues requiring progressive discipline separately and distinctly through the progressive discipline process. Issues are only stacked, or addressed together, where one set of expectations applies to both employee behaviours. For example, an employee who is both arriving late and leaving early will see both attendance issues addressed together; an employee who is arriving late and failing to meet deadlines will see each issue addressed independently through the progressive discipline process. However, otherwise, unrelated issues may be considered by management for any links that could improve employee performance: for example, an employee may improve their ability to meet deadlines when they consistently complete a full workday.

A progressive discipline action against an employee at any stage of the process expires after 12 months after it was applied. When a progressive discipline action expires, it will no longer be considered in future disciplinary actions against the employee. Instead, the disciplinary process will restart for any future offences. However, repeated incidents of a particular issue may result in an employee entering the progressive discipline process at a later step if the incidents are repeated within 2 years or when the issue has escalated in severity.

COACHING

CPC Logistics Canada managers routinely coach employees under their direction. In the coaching stage, a manager or supervisor provides the employee with guidance to correct the unacceptable behaviour. The employee may be coached on expected conduct or how to prevent repeated offences. Employees should leave coaching conversations with a clear understanding of why their behaviour is unacceptable and a plan for how to improve.

Managers may provide up to 2 instances of coaching before proceeding to the formal steps of the progressive discipline process.

STEP 1: VERBAL WARNING

In this first formal step in the progressive discipline process, the employee's supervisor or manager will meet with the employee privately for a confidential discussion about the ongoing concern and ways to correct the employee's unacceptable behaviour.

The manager will clearly state that the conversation is a formal verbal warning and inform the employee of all consequences if the behaviour continues after the verbal warning, up to and including termination.



The manager specifies a period during which the behaviour must improve. If the employee demonstrates improvement within this period, management may end the progressive discipline process. If the employee continues the unacceptable behaviour, the progressive discipline process continues.

The company may provide up to 2 verbal warnings to the employee before moving to the next stage of the progressive discipline process.

STEP 2: WRITTEN WARNING

If the employee's conduct does not improve, or if the misconduct warrants immediate progression to this step, a written warning is issued. The employee's supervisor or manager and alternate manager, dispatcher and/or next-level manager will meet with the employee privately to explain the situation and why the employee's behaviour did not meet expectations.

The manager will clearly state that the conversation is a formal written warning and advise the employee of all consequences if the behaviour continues. The manager will emphasize the seriousness of the situation.

The manager specifies a period during which the employee is expected to improve before moving to the next level of progressive discipline. If the employee demonstrates improvement within this period, management may end the progressive discipline process. If the employee continues the unacceptable behaviour, the progressive discipline process continues.

The company may provide up to 1 written warning to the employee before moving to the next stage of the progressive discipline process.

STEP 3: FINAL WRITTEN WARNING AND POSSIBLE SUSPENSION

If the employee's conduct has not improved after a written warning, or if an employee's misconduct warrants immediate progression to this stage, the company may choose to issue a final written warning. The final written warning will be conveyed in a meeting between the employee, their manager or supervisor, alternate manager, dispatcher and/or next-level manager. The manager will advise the employee that a failure to correct their behaviour will result in termination.

At this time, the manager may also suspend the employee. Suspensions without pay are intended to provide the employee time to reflect on their actions. The company may suspend an employee for a serious offence or for the reoccurrence of an offence identified in a previous step of the progressive discipline process.

Suspensions are imposed for one to five days and are followed by a review period of up to 3 months. During the suspension and review period, employees will be eligible for wage increases and will not be eligible to apply for internal promotions.

The manager specifies a period during which the employee is expected to improve before moving to the next level of progressive discipline. If the employee demonstrates improvement within this period, management may decide to end the progressive discipline process. If the employee continues the unacceptable behaviour, the progressive discipline process continues.



The company provides only one final warning, whether or not accompanied by a suspension, before moving to the next stage of the progressive discipline process.

STEP 4: TERMINATION OF EMPLOYMENT

If the employee continues to demonstrate unacceptable conduct after receiving a final written warning, and fails to improve and meet the expectations of the workplace, or if an employee's misconduct warrants immediate progression to this stage, the employee may be terminated from their employment with the company.

Before rendering this decision, the company reviews all documentation related to the progressive discipline. If the company determines it should terminate the employment relationship, two company representatives will meet with the employee to discuss the employee's failure to address the concerning conduct and performance and to provide a notice of termination.

Termination is subject to the termination provisions found in the employee's original employment agreement.

Upon termination, the employee will receive their final pay and all outstanding wages in accordance with the applicable employment standards legislation. The employee is required to return all company property, as well as. If the employee must arrange to retrieve personal items from the workplace, they must coordinate retrieval with their direct manager.

DOCUMENTATION

Every step in the progressive discipline process, including coaching, is documented in the employee file.

Documentation maintained for coaching conversations includes the date and content of the conversation.

At the formal steps of the progressive discipline process, the manager is responsible for documenting in detail the date, persons present at the meeting, information conveyed to the employee, timeline for improvement, whether the employee is informed of the next steps in the process, and any other relevant information from the meeting. The employee must sign an acknowledgement confirming that the meeting was held and documented correctly. If the employee refuses to sign the acknowledgement, management must document the refusal to sign and include a witness signature to the refusal. The employee may be provided an additional opportunity to sign documentation in a follow-up meeting.

All records related to the progressive discipline process are stored in the employee file.

CONFIDENTIALITY

The company recognizes the sensitive nature of progressive discipline and protects the confidentiality of the employee. The company only collects and shares information regarding progressive discipline and the offences that result in progressive discipline on a need-to-know basis, with the involved manager or supervisor, a manager attending disciplinary meetings on behalf of the company, and human resources. Documentation is stored securely, in accordance with the company's *Privacy and Data Protection Policy (or equivalent)*.



Management handles inquiries and correspondence related to progressive discipline, such as reference checks, in a manner that respects the privacy of those involved. Information about progressive discipline is not shared externally except to the extent required by law.

ACCOMMODATION AND THE DUTY TO INQUIRE

If an employee implies or identifies a barrier to their ability to meet expectations that is related to a protected characteristic under the Canadian Human Rights Act, the company will follow the procedures outlined in the CPC Logistics Accommodation Policy, including providing accommodation up to the point of undue hardship.

Throughout the progressive discipline process, CPC Logistics Canada considers its duty to inquire and whether grounds exist that trigger its duty to accommodate. If circumstances are discovered during the progressive discipline process that raises the duty to inquire, CPC Logistics Canada will make the necessary inquiries of the employee under the CPC Logistics Accommodation Policy.

ABUSE OF AUTHORITY AND HARASSMENT

Managers must never use the progressive discipline process to retaliate, punish, or harass an employee for behaviour that does not meet the requirements for progressive discipline under this policy. Applying progressive discipline to retaliate, punish, or harass an employee is considered an abuse of authority.

If an employee believes progressive discipline has been unfairly or inappropriately applied to them pursuant to an abuse of authority, breach of any company policies or procedures, or a perceived conflict of interest, the employee must report the issue to the next level of management or an alternate authority (*e.g., Regional Manager or Vice President, Canadian Operations*) as soon as possible. Allegations of inappropriate application of progressive discipline will be taken seriously and thoroughly investigated.

If an investigation substantiates a complaint that progressive discipline has been inappropriately applied, the disciplinary action will be undone (*for example, a written warning will be removed from the employee file*). The issue will be documented and addressed with the involved manager.

If an investigation does not substantiate a complaint that progressive discipline has been inappropriately applied, the employee will be counselled by an otherwise uninvolved manager about why the progressive discipline action is appropriate. If an employee makes a complaint of inappropriate progressive discipline in bad faith (*for example, while concealing information that supports the application of progressive discipline*), additional and separate discipline may be applied against the employee.



ACKNOWLEDGEMENT AND AGREEMENT

By signing below, I acknowledge that I have read and understand the contents of this policy. I agree to adhere to this policy and will ensure that employees working under my direction adhere to this policy. I understand that if I violate the rules set forth in this policy, I may face disciplinary action up to and including termination of employment.

Name: _____

Signature: _____

Date: _____

Witness: _____